Services

Along with goods, services are produced and consumed. They are generally, possess the following:

- **Intangible:** Intangible things are not physical objects but exist in connection to other things, for example, brand image, goodwill etc. But today, the intangible things are converted and stored into tangible items such as recording a music piece into a pen-drive. They are marketed as a good.
- **Heterogeneous:** Services vary across regions or cultural backgrounds. They can be grouped on the basis of quality standards. A single type service yields multiple experiences. For example, music, consulting physicians etc.
- **Inseparable from their makers:** Services are inextricably connected to their makers. For example, labour and labourer are inseparable; and,
- **Perishable:** Services cannot be stored as inventories like assets. For example, it is useless to possess a ticket for a cricket-match once the match is over. It cannot be stored and it has no value-in-exchange.

1.5.2 Utility

a. Meaning

'Utility' means 'usefulness'. In Economics, utility is the want-satisfying power of a commodity or a service. It is in the goods and services for an individual consumer at a particular time and at a particular place.



b. Characteristics of Utility

1. Utility is psychological. It depends on the consumer's mental attitude. For example, a vegetarian derives no utility from mutton;
2. Utility is not equivalent to usefulness. For example, a smoker derives utility from a cigarette; but, his health gets affected;
3. Utility is not the same as pleasure. A sick person derives utility from taking a medicine, but definitely, it is not providing pleasure;
4. Utility is personal and relative. An individual obtains varied utility from one and the same good in different situations and places;
5. Utility is the function of the intensity of human want. An individual consumer faces a tendency of diminishing utility;
6. Utility is a subjective concept it cannot be measured objectively and it cannot be measured numerically;
7. Utility has no ethical or moral significance. For example, a cook

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